



InvITS AT A GLANCE

₹10,000–15,000

Minimum investment
for retail investors

13–15%

Average annual returns
of publicly-listed InvITs

₹7 LAKH CRORE

AUM of listed
InvITs in FY26, up from
₹6 lakh crore in FY24

₹83,770 CRORE

Total distributions from
inception to Q3 FY26;
₹19,000 crore in three
quarters of FY26 alone

5%

Retail ownership
of total units

90%

of cash flows
have to be distributed
to investors

9–12%

Average XIRR,
higher than FDs,
but lower than long-
term equity returns

THE CENTRE'S infrastructure push since the outbreak of Covid-19 has made both institutional and retail investors look at ways to ride this theme without taking too much risk. One asset class that has come to dominate the discussions is infrastructure investment trusts (InvITs).

InvITs pool investor money to buy infrastructure assets such as highways, power transmission lines and telecom towers that generate steady income through tolls, tariffs or user fees. They distribute most of it to investors at periodic intervals. Since the assets are operational and revenue-generating, the income is relatively stable. Investors can also benefit from capital appreciation.

One reason for the rising interest in InvITs is their alignment with the Viksit Bharat 2047 vision. They are benefitting from a favourable macroeconomic environment marked by competitive interest rates and rising demand for stable yield instruments. This is reflected in expansion of assets under management (AUM) from ₹6 lakh crore in FY24 to ₹6.25 lakh crore in FY25. It is expected to have grown to ₹7.25–7.5 lakh crore in FY26. The AUM is projected to grow to ₹12 lakh crore by FY30.

In a volatile equity environment, heightened by the war in West Asia, investors are considering predictable income-generating assets, says Shrinivas Rao, CEO of real estate solutions firm Vestian. “This combination of structural growth and yield-driven